Basis points

Used to express and measure percentage changes in the interest rate. A one per cent change is the equivalent of 100 basis points. For example, when the RBA moves the official cash rate 25 basis points it has lifted from 1.5 per cent to 1.75 per cent.

Credit foncier loan

A loan that includes a fixed term of regular repayments of principal and interest. Most home loans in Australia are principal-and-interest loans. The borrower can pay down the amount they have borrowed for their mortgage (the principal) and the interest they pay on their mortgage at the same time.

Compound interest

Interest on interest. You want compound interest to accrue on your savings when you’re working towards a deposit, but it’s less helpful when it accrues on repayments, such as for credit cards. In the savings scenario, interest is earned on the amount in a bank account *and* the interest that has already accumulated.

It works like this: if you deposit $100 into a bank account at an interest rate of four per cent per annum, after a year you will have $104; at the end of the following year, the interest is calculated on that $104, and on and on. Albert Einstein is rumoured to have once declared compound interest to be the most powerful force in the universe. The Federal Government’s MoneySmart website calls it ‘double chocolate topping’ for savings. Nothing else seems to make nerds quite as excited as compound interest.

Equity

The gap between the market value of a property minus how much is still owed to the mortgage lender. For example, your home is worth $450,000 and you owe the bank $200,000; you could have up to $250,000 in equity.

Equity can be taken as a loan and used for:

- A deposit on another property; this is how investors build their portfolio and use each property as a stepping stone to another.
- Renovations
- Share-market investment